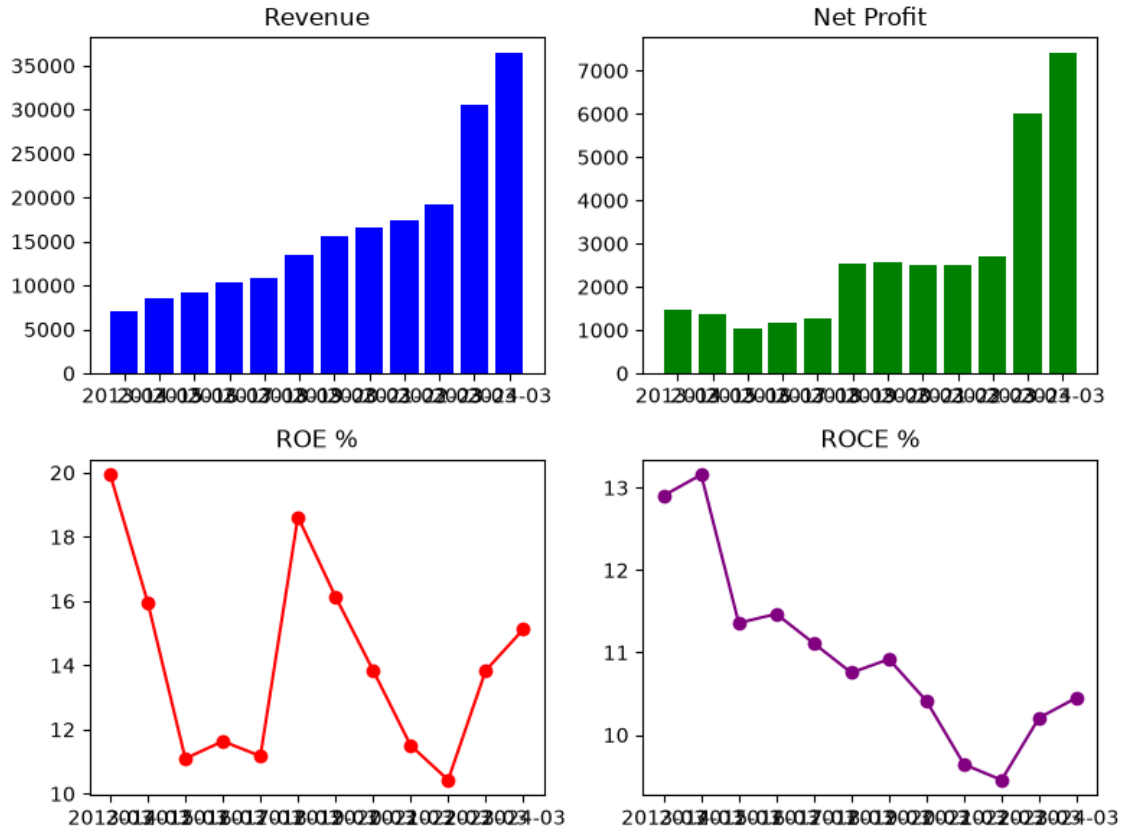
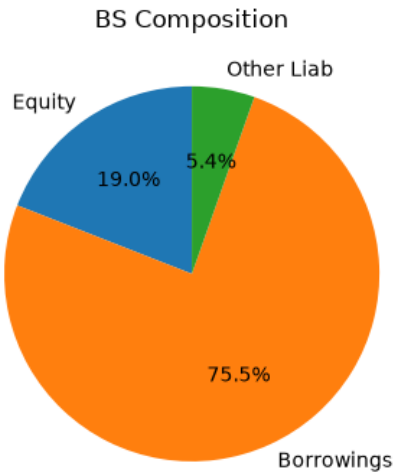
Shriram Finance Ltd (SHRIRAMFIN)

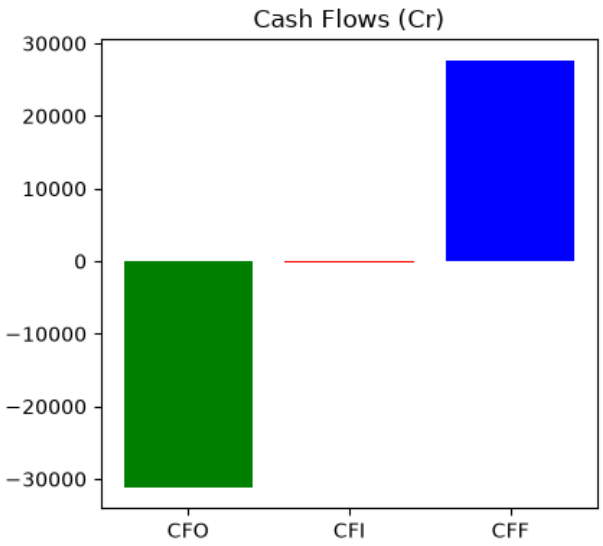
ROE	15.12%	ROCE	10.45%
D/E	3.99	OPM	28.92%
FCF	-31359 Cr	Net Profit Margin	20.33%

Performance Trends



Balance Sheet & Cash Flows





Pros & Cons

Pros: Revenue growing at above 15% CAGR over 5 years reflects strong business momentum, Operating profit margin above 25% indicates strong pricing power and cost discipline, Net profit compounding at above 20% over 5 years creates significant shareholder value, Return on equity improving for 3 consecutive years shows strengthening business quality, Revenue growing slower than profits shows improving operating leverage and scale benefits
Cons: Debt-to-equity ratio of 3.99 is elevated for a non-financial company and warrants monitoring, Free cash flow negative for 3 consecutive years raises concern about cash generation quality, Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations, Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Badge: Growth Funded by Debt